

3.5 FEATURES OF FUTURES CONTRACT



EXCHANGE TRADED
CONTRACT.



DAILY SETTLEMENT.



GENERALLY USED
FOR RISK HEDGING.



STANDARDISED
AND REGULATED
CONTRACT.

BUY

SELL

FUTURES CONTRACT IS AN
OBLIGATION TO BUY/SELL AN
UNDERLYING INSTRUMENT
ON A FUTURE DATE AT AN
AGREED PRICE.

A futures contract is generally used for risk hedging purposes. For instance, if you have an exceptionally large chunk of Reliance shares and you are expecting some movement against your position then instead of selling the whole lot you may simply hedge yourself via a futures contract and bag your profits from it to compensate your actual position with the shares you own of Reliance.